Businesses in the UK music retail market

Exam code: 9BS0

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Updated on 11 April 2025

An introduction to the UK music retail market

- UK customers buy physical recorded music through a mix of independent shops, national chains, online platforms, and supermarkets
- Independent record stores, such as Rough Trade and Banquet Records, offer vinyl and CDs, and some host live events to engage local music communities
- Major high street retailers like HMV provide a broad range of titles across many genres
- Supermarkets, including Tesco and Asda, also sell popular music releases, largely in CD format, at competitive prices
- Online platforms - especially amazon.co.uk and hmv.com - are a major outlet for buying physical music, offering convenience, wide availability and home delivery

Notable Retailers:

- **HMV:** With its significant presence on the high street, HMV is the UK's biggest music retail chain and its hmv.com website is a key online source
- **Amazon UK**: A major online retailer that sells physical music products as well as a popular streaming platform (Amazon Music)
- **Rough Trade:** Known for its focus on independent and alternative music, with stores in cities like London and Nottingham as well as a successful online store
- **Banquet Records:** Based in Kingston upon Thames, this store is known for combining retail with live music promotion
- **Gatefield Sounds:** A respected independent shop in Whitstable with a broad and loyal customer base

Multinational retailers

HMV

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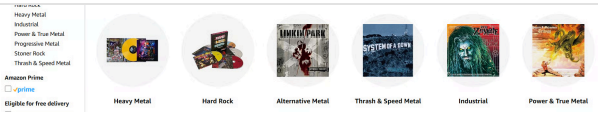
- HMV, originally called His Master's Voice, opened its first store on London's Oxford Street in 1921
- It quickly became a leading UK music retailer, known for selling vinyl, CDs, DVDs and video games
- After facing severe financial difficulties due to competition from digital downloads and streaming, HMV entered administration in 2013 and again in 2018
- It was rescued by Sunrise Records & Entertainment in 2019, which revitalised the brand
- In recent years it has expanded its vinyl offer, merchandise and pop-culture products, increasing its profitability
- The company's Birmingham outlet, the largest entertainment store in Europe, sold 25,000 vinyl albums, 80,000 CDs and 40,000 DVDs in 2022

Help me understand

HMV's business approach

Aspect	Approach
Product range	• HMV offers a diverse selection, including music CDs, vinyl records, DVDs, Blu-rays, video games and music merchandise • It has expanded to include technology products like headphones and speakers
Customer service	• HMV focuses on the in-store experience by integrating digital initiatives such as in-store wi-fi and digital kiosks • These allow customers to explore and discover new products
Pricing strategies	• HMV employs competitive pricing, often bundling products and offering promotions to attract customers ○ Examples include the popular '3 for £66 range, available in-store and online • It also offers a loyalty program, PureHMV, to encourage repeat business
Marketing tactics	• HMV uses a multichannel approach, combining its online platform with physical stores • Stores host live events and signings to draw customers into stores, creating a community around the brand

Amazon UK



- Amazon.co.uk sells a wide range of CDs and vinyl records
- Customers can easily browse popular albums, new releases, and exclusive versions like coloured vinyl or signed copies
    - These special editions attract music collectors and fans

- Although Amazon doesn't publish exact sales figures, it plays an important role in selling CDs and vinyl in the UK

Amazon's business approach

Aspect	Approach
Product range	• Amazon UK offers a wide range of music products, including CDs, vinyl records, digital downloads and streaming services through Amazon Music Unlimited
Customer service	• Amazon is known for its efficient delivery system, offering options like next-day delivery for Prime members • Their customer service includes easy returns and 24/7 support
Pricing strategies	• Amazon uses dynamic pricing strategies, adjusting prices based on demand, competition and other factors • It often uses psychological pricing, setting prices just below round numbers (e.g. £9.99) to make products appear more affordable
Marketing tactics	• Amazon uses personalised marketing, using customer data to recommend products • They also offer promotions like free trials for Amazon Music Unlimited to attract new users

Independent retailers

- In 2024, there were 461 independent record shops in the UK, 122 more than 10 years ago
- Between them, these stores sold more than 2.2 million records

Rough Trade

- Rough Trade was founded by Geoff Travis in 1976 as a small record shop in Ladbroke Grove, **London**
    - It quickly became a hub for punk and alternative music fans, fostering a community where customers could discover new artists and connect with fellow enthusiasts
- In 1978, Rough Trade expanded into a **record label**, famously signing The Smiths
- Today, Rough Trade has six UK stores - two in London and others in Bristol, Nottingham, and Liverpool. There is also store at Rockefeller Center in New York
- Rough Trade has tripled its share of the UK vinyl market over the last five years
    - By December 2023, Rough Trade Retail (UK) Limited achieved sales of £16.8 million, driven by a 10% increase in physical music sales and 15% growth in store visitors over the previous year
    - Its website attracted more than 760,000 visits in February 2025

Rough Trade's business approach

Aspect	Approach
Product range	• It specialises in vinyl records, focusing on independent and alternative music genres • It also sell books, magazines and music-related merchandise
Customer service	• Rough Trade emphasises creating a community atmosphere with knowledgeable staff who provide personalised recommendations
Pricing strategies	• Prices are set to reflect the niche market, often higher than mainstream retailers due to the focus on independent labels and limited editions
Marketing tactics	• Rough Trade hosts in-store events and live performances to engage customers • In 2024, they hosted over 800 events across their stores, enhancing the in-store experience.

Banquet Records

- Banquet Records, located in Kingston upon Thames, became fully independent in 2002 and is currently owned by former staff members Jon Tolley and Mike Smith, who transformed it from a struggling business into a major music hub
- The store and website specialise in vinyl and CDs across genres including indie, punk, emo, dance, and hip-hop
- Banquet hosts over 200 shows a year in-store and at local venues
    - Acts like The Who, Billie Eilish, and Stormzy have played at Banquet-linked events.
- It is credited with helping several artists reach No.1 in the UK charts and is seen as one of the country's most influential record stores
- It lives up to its slogan, "More than just your local record store," by blending retail with live music experiences

Banquet Records' business approach

Aspect	Approach
Product range	• Banquet offers a large selection of vinyl records, CDs, and tickets for local music events • It focuses on indie, punk and alternative genres
Customer service	• It is known for its strong ties to the local community, providing a personalised shopping experience • It actively supports upcoming bands and new music
Pricing strategies	• Banquet pursues a competitive pricing strategy with an emphasis on value, often bundling concert tickets with album purchases
Marketing tactics	• It organises and promotes local events and club nights, such as the weekly 'New Slang' event, to foster a vibrant music community

Gatefield Sounds

- Whitstable's Gatefield Sounds is a family-run independent record shop founded in 1972
- The shop offers a diverse selection of vinyl records and CDs, catering to a wide range of musical tastes from Abba to Zappa, with serves customers aged 7 to 95
- Gatefield Sounds has hosted in-store performances, including a notable event by the band Slaves
- In recognition of its contribution to the music community, Gatefield Sounds was shortlisted among the UK's top 20 independent record shops by Long Live Vinyl in 2019
- The shop continues to thrive, reflecting the dedication of its owners to fostering a vibrant local music scene

Gatefield Sounds' business approach

Aspect	Approach
Product range	• Gatefield Sounds offers a diverse selection of music across various genres on both vinyl and CD, catering to a wide audience • It stocks music from a wide range of artists, ranging from Abba to Frank Zappa
Customer service	• They provide an efficient ordering service for items not in stock and can order films, DVDs, and Blu-rays • As a family-run business established in 1972, Gatefield Sounds is praised for its knowledgeable and friendly staff who offer personalised recommendations • Customers appreciate the welcoming atmosphere and the owner's expertise
Pricing strategies	• The shop offers reasonable prices for its wide selection of vinyl and CDs, balancing affordability with the value of physical music formats
Marketing tactics	• The shop hosts in-store live performances and album signings from both established and emerging artists • Gatefield maintains an active presence on social media platforms like Facebook and Instagram to update customers on new releases and events

	traditions like providing sausage rolls to early customers

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